The Wharton School
Accounting 6130
Final Exam
December 5, 2025

EXCERPTS FROM
Estee Lauder Companies, Inc.
2024 10-K REPORT

This document is required for the December 5, 2025 Final Exam in Accounting 6100/6130. The document consists of 12 pages (including this page) and contains the following:

1. **Consolidated Statement of Earnings for the Fiscal Years 2024, 2023, and 2022 (p. 2)**
2. **Consolidated Balance Sheets as of June 30, 2024 and 2023 (p. 3)**
3. **Consolidated Statement of Equity for the Fiscal Years 2024, 2023, and 2022 (p. 4)**
4. **Consolidated Statements of Cash Flows for the for the Fiscal Years 2024, 2023, and 2022 (p. 5)**
5. **Notes 1, 2, 9, 12, 17, 19, and 21 to the Consolidated Financial Statements (pages 6 through 12)**

Please note that occasionally sections of these Statements and Notes have been removed or changed for your benefit.

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printed on 8 ½ x 11 paper

THE ESTÉE LAUDER COMPANIES INC.

CONSOLIDATED STATEMENTS OF EARNINGS

(In millions, except per share data)	Year Ended June 30 2024	2023	2022
Net sales	$ 15,608	$ 15,910	$ 17,737
Cost of sales	4,424	4,564	4,305
Gross profit	11,184	11,346	13,432
Operating expenses			
Selling, general and administrative	9,621	9,575	9,888
Restructuring and other charges	122	55	133
Goodwill impairment	291	—	—
Impairment of other intangible assets	180	207	241
Total operating expenses	10,214	9,837	10,262
Operating income	970	1,509	3,170
Interest expense	378	255	167
Interest income and investment income, net	167	131	30
Other components of net periodic benefit cost	(13)	(12)	(2)
Other income, net	—	—	1
Earnings before income taxes	772	1,397	3,036
Provision for income taxes	363	387	628
Net earnings	409	1,010	2,408
Net earnings attributable to noncontrolling interests	—	—	(7)
Net earnings attributable to redeemable noncontrolling interest	(19)	(4)	(11)
Net earnings attributable to The Estée Lauder Companies Inc.	$ 390	$ 1,006	$ 2,390
Net earnings attributable to The Estée Lauder Companies Inc. per common share			
Basic	$ 1.09	$ 2.81	$ 6.64
Diluted	$ 1.08	$ 2.79	$ 6.55
Weighted-average common shares outstanding			
Basic	359.0	357.9	360.0
Diluted	360.8	360.9	364.9

THE ESTÉE LAUDER COMPANIES INC.

CONSOLIDATED BALANCE SHEETS

(In millions, except share and per share data)	June 30 2024	June 30 2023
ASSETS		
Current assets		
Cash and cash equivalents	$ 3,395	$ 4,029
Accounts receivable, net	1,727	1,452
Inventory and promotional merchandise	2,175	2,979
Prepaid expenses and other current assets	625	679
Total current assets	7,922	9,139
Property, plant and equipment, net	3,136	3,179
Other assets		
Operating lease right-of-use assets	1,833	1,797
Goodwill	2,143	2,486
Other intangible assets, net	5,183	5,602
Other assets	1,460	1,212
Total other assets	10,619	11,097
Total assets	$ 21,677	$ 23,415
LIABILITIES AND EQUITY		
Current liabilities		
Current debt	$ 504	$ 997
Accounts payable	1,440	1,670
Operating lease liabilities	354	357
Other accrued liabilities	3,404	3,216
Total current liabilities	5,702	6,240
Noncurrent liabilities		
Long-term debt	7,267	7,117
Long-term operating lease liabilities	1,701	1,698
Other noncurrent liabilities	1,693	1,943
Total noncurrent liabilities	10,661	10,758
Commitments and contingencies		
Redeemable Noncontrolling Interest	—	832
Equity		
Common stock, $.01 par value; Class A shares authorized: 1,300,000,000 at June 30, 2024 and June 30, 2023; shares issued: 596,560,598 at June 30, 2024 and 595,210,114 at June 30, 2023	6	6
Paid-in capital	6,685	6,153
Retained earnings	13,427	13,991
Accumulated other comprehensive loss	(1,140)	(934)
	18,978	19,216
Less: Treasury stock, at cost; 237,871,995 Class A shares at June 30, 2024 and 237,590,199 Class A shares at June 30, 2023	(13,664)	(13,631)
Total equity	5,314	5,585
Total liabilities, redeemable noncontrolling interest and equity	$ 21,677	$ 23,415

THE ESTÉE LAUDER COMPANIES INC.

CONSOLIDATED STATEMENTS OF EQUITY AND REDEEMABLE NONCONTROLLING INTEREST

(In millions, except per share data)	Year Ended June 30 2024	2023	2022
Common stock, beginning of year	$ 6	$ 6	$ 6
Stock-based compensation	—	—	—
Common stock, end of year	6	6	6
Paid-in capital, beginning of year	6,153	5,796	5,335
Common stock dividends	6	4	3
Stock-based compensation	364	353	477
Purchase of shares from noncontrolling interests	—	—	(19)
Purchase of shares from redeemable noncontrolling interest	162	—	—
Paid-in capital, end of year	6,685	6,153	5,796
Retained earnings, beginning of year	13,991	13,912	12,244
Common stock dividends	(954)	(927)	(843)
Net earnings attributable to The Estée Lauder Companies Inc.	390	1,006	2,390
Cumulative effect of adoption of new accounting standards	—	—	121
Retained earnings, end of year	13,427	13,991	13,912
Accumulated other comprehensive loss, beginning of year	(934)	(762)	(470)
Other comprehensive loss attributable to The Estée Lauder Companies Inc.	(133)	(172)	(292)
Purchase of shares from redeemable noncontrolling interest	(73)	—	—
Accumulated other comprehensive loss, end of year	(1,140)	(934)	(762)
Treasury stock, beginning of year	(13,631)	(13,362)	(11,058)
Acquisition of treasury stock	(33)	(269)	(2,304)
Treasury stock, end of year	(13,664)	(13,631)	(13,362)
Total stockholders' equity – The Estée Lauder Companies Inc.	5,314	5,585	5,590
Noncontrolling interests, beginning of year	—	—	34
Net earnings attributable to noncontrolling interests	—	—	7
Purchase of shares from noncontrolling interests	—	—	(34)
Translation adjustments and other, net	—	—	(7)
Noncontrolling interests, end of year	—	—	—
Total equity	$ 5,314	$ 5,585	$ 5,590
Redeemable noncontrolling interest, beginning of year	$ 832	$ 842	$ 857
Net earnings attributable to redeemable noncontrolling interest	19	4	11
Purchase of shares from redeemable noncontrolling interest	(834)	—	—
Translation adjustments	(17)	(14)	(25)
Adjustment of redeemable noncontrolling interest to redemption value	—	—	(1)
Redeemable noncontrolling interest, end of year	$ —	$ 832	$ 842
Cash dividends declared per common share	$ 2.64	$ 2.58	$ 2.33

THE ESTÉE LAUDER COMPANIES INC.

CONSOLIDATED STATEMENTS OF CASH FLOWS

(In millions)	Year Ended June 30 2024	2023	2022
Cash flows from operating activities			
Net earnings	$ 409	$ 1,010	$ 2,408
Adjustments to reconcile net earnings to net cash flows from operating activities:			
Depreciation and amortization	825	744	727
Deferred income taxes	(265)	(186)	(149)
Non-cash stock-based compensation	325	267	331
Net loss on disposal of property, plant and equipment	9	13	8
Non-cash restructuring and other charges	7	36	14
Pension and post-retirement benefit expense	50	53	78
Pension and post-retirement benefit contributions	(116)	(49)	(56)
Impairment of goodwill and other intangible assets	471	207	241
Gain on previously held equity method investment	—	—	(1)
Other non-cash items	14	(8)	(7)
Changes in operating assets and liabilities:			
Decrease (increase) in accounts receivable, net	(285)	185	(10)
Decrease (increase) in inventory and promotional merchandise	766	(64)	(602)
Decrease (increase) in other assets, net	15	26	(101)
Increase (decrease) in accounts payable	(38)	(333)	210
Increase (decrease) in other accrued and noncurrent liabilities	209	(129)	1
Decrease in operating lease assets and liabilities, net	(36)	(41)	(52)
Net cash flows provided by operating activities	2,360	1,731	3,040
Cash flows from investing activities			
Capital expenditures	(919)	(1,003)	(1,040)
Payments for acquired business	—	—	(3)
Purchases of other intangible assets	—	(2,286)	—
Purchases of investments	(18)	(8)	(10)
Settlement of net investment hedges	(23)	80	108
Net cash flows used for investing activities	(960)	(3,217)	(945)
Cash flows from financing activities			
Proceeds (repayments) of current debt, net	(215)	218	(4)
Proceeds from issuance of commercial paper (maturities after three months)	—	765	—
Repayments of commercial paper (maturities after three months)	(785)	—	—
Proceeds from issuance of long-term debt, net	648	1,995	—
Debt issuance costs	(4)	(15)	(1)
Repayments and redemptions of long-term debt	(10)	(265)	(18)
Net proceeds from stock-based compensation transactions	40	88	151
Payment for acquisition of noncontrolling interest	—	—	(15)
Payments for acquisition of redeemable noncontrolling interest	(745)	—	—
Payments to acquire treasury stock	(33)	(271)	(2,309)
Settlement of cross-currency swaps	16	—	—
Dividends paid to stockholders	(947)	(925)	(840)
Net cash flows provided by (used for) financing activities	(2,035)	1,590	(3,036)
Effect of exchange rate changes on Cash and cash equivalents	1	(32)	(60)
Net increase (decrease) in Cash and cash equivalents	(634)	72	(1,001)
Cash and cash equivalents at beginning of year	4,029	3,957	4,958
Cash and cash equivalents at end of year	$ 3,395	$ 4,029	$ 3,957

THE ESTÉE LAUDER COMPANIES INC.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1 - DESCRIPTION OF BUSINESS

The Estée Lauder Companies Inc. manufactures, markets and sells skin care, makeup, fragrance and hair care products around the world. Products are marketed under owned brand names, including: Estée Lauder, Aramis, Clinique, Lab Series, Origins, M·A·C, La Mer, Bobbi Brown Cosmetics, Aveda, Jo Malone London, Bumble and bumble, Darphin Paris, TOM FORD, Smashbox, LeLabo, Editions de Parfums Frédéric Malle, GLAMGLOW, Kilian Paris, Too Faced, Dr.Jart+, and The Ordinary.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Stock-Based Compensation

The Company records stock-based compensation, measured at the fair value of the awards that are ultimately expected to vest, as an expense in the consolidated financial statements.

Income Taxes

The Company recognizes deferred tax assets and liabilities for future tax consequences attributable to differences between financial statement carrying amounts of existing assets and liabilities and their respective tax basis, net operating losses, tax credit and other carryforwards. Deferred tax assets and liabilities are measured using enacted tax rates when the assets and liabilities are expected to be realized or settled. The Company regularly reviews deferred tax assets for realizability and establishes valuation allowances based on available evidence including historical operating losses, projected future taxable income, expected timing of the reversals of existing temporary differences, and appropriate tax planning strategies. If the Company's assessment of the realizability of a deferred tax asset changes, an increase to a valuation allowance will result in a reduction of net earnings at that time, while the reduction of a valuation allowance will result in an increase of net earnings at that time.

NOTE 9 – INCOME TAXES

The provision for income taxes is comprised of the following:

(In millions)	Year Ended June 30 2024	2023	2022
Current:			
Federal	$ 185	$ 141	$ 219
Foreign	426	424	533
State and local	17	8	25
	628	573	777
Deferred:			
Federal	(147)	(105)	(12)
Foreign	(111)	(77)	(136)
State and local	(7)	(4)	(1)
	(265)	(186)	(149)
	$ 363	$ 387	$ 628

A reconciliation of the U.S. federal statutory income tax rate to the Company's actual effective tax rate on earnings before income taxes is as follows:

	Year Ended June 30 2024	2023	2022
Provision for income taxes at statutory rate	21.0 %	21.0 %	21.0 %
Increase (decrease) due to:			
State and local income taxes, net of federal tax benefit	1.1	0.3	0.7
Stock-based compensation arrangements – excess tax expense (benefits), net	3.0	(0.8)	(2.7)
Taxation of foreign operations	15.9	8.6	1.4
Income tax reserve adjustments	(0.4)	(0.1)	0.3
Nondeductible impairment charges	7.9	—	—
U.S. research and development tax credit	(2.2)	(0.9)	(0.3)
Other, net	0.7	(0.4)	0.3
Effective tax rate	47.0 %	27.7 %	20.7 %

Significant components of the Company's deferred income tax assets and liabilities were as follows:

(In millions)	June 30 2024	June 30 2023
Deferred tax assets:		
Compensation-related expenses	$ 198	$ 189
Inventory obsolescence and other inventory related reserves	103	75
Retirement benefit obligations	45	60
Various accruals not currently deductible	228	225
Net operating loss carryforwards	405	225
Unrecognized state tax benefits and accrued interest	13	12
Lease liabilities	462	479
Research-related expenses	248	200
Other differences between tax and financial statement values	103	107
	1,805	1,572
Valuation allowance for deferred tax assets	(238)	(200)
Total deferred tax assets	1,567	1,372
Deferred tax liabilities:		
Fixed assets and intangibles	(614)	(264)
ROU assets	(422)	(432)
Partnership interest in DECIEM	—	(404)
Other differences between tax and financial statement values	(32)	(32)
Total deferred tax liabilities	(1,068)	(1,132)
Total net deferred tax assets	$ 499	$ 240

As of June 30, 2024, the Company had net deferred tax assets of $499 million, of which $1,018 million is included in Other assets and $519 million is included in Other noncurrent liabilities in the accompanying consolidated balance sheets. As of June 30, 2023, the Company had net deferred tax assets of $240 million, of which $860 million is included in Other assets and $620 million is included in Other noncurrent liabilities in the accompanying consolidated balance sheets.

The Company has recorded a valuation allowance of $238 million and $200 million as of June 30, 2024 and 2023, respectively, principally against certain net operating loss carryforwards and tax credit carryforwards. A valuation allowance has been provided for those deferred tax assets for which, in the opinion of management, it is more-likely-than-not that the deferred tax assets will not be realized.

NOTE 12 – DEBT

The Company's current and long-term debt and available financing consist of the following:

(In millions)	Debt at June 30 2024	Debt at June 30 2023
5.150% Senior Notes, due May 15, 2053 ("2053 Senior Notes")	$ 590	$ 590
3.125% Senior Notes, due December 1, 2049 ("2049 Senior Notes")	637	636
4.150% Senior Notes, due March 15, 2047 ("2047 Senior Notes")	494	494
4.375% Senior Notes, due June 15, 2045 ("2045 Senior Notes")	454	454
3.700% Senior Notes, due August 15, 2042 ("2042 Senior Notes")	247	247
6.000% Senior Notes, due May 15, 2037 ("2037 Senior Notes")	296	295
5.000% Senior Notes, due June 30, 2034 ("2034 Senior Notes)	648	—
5.75% Senior Notes, due October 15, 2033 ("October 2033 Senior Notes")	198	198
4.650% Senior Notes, due May 15, 2033 ("May 2033 Senior Notes")	695	695
1.950% Senior Notes, due March 15, 2031 ("2031 Senior Notes")	551	550
2.600% Senior Notes, due April 15, 2030 ("2030 Senior Notes")	595	589
2.375% Senior Notes, due December 1, 2029 ("2029 Senior Notes")	644	643
4.375% Senior Notes, due May 15, 2028 ("2028 Senior Notes")	696	696
3.150% Senior Notes, due March 15, 2027 ("2027 Senior Notes")	499	499
2.000% Senior Notes, due December 1, 2024 ("2024 Senior Notes")	499	498
Commercial paper (1)	—	988
Other long-term borrowings	28	33
Other current borrowings	4	9
Revolving credit facility	—	—
	7,771	8,114
Less current debt including current maturities	(504)	(997)
	$ 7,267	$ 7,117

As of June 30, 2024, the Company's long-term debt consisted of the following:

Notes	Issue Date	Price	Yield	Principal	Unamortized Debt (Discount) Premium
($ in millions)					
2053 Senior Notes	May 2023	99.455 %	5.186 %	$ 600	$ (10)
2049 Senior Notes	November 2019	98.769	3.189	650	(13)
2047 Senior Notes	February 2017	99.739	4.165	500	(6)
2045 Senior Notes	June 2015	97.999	4.497	300	(40)
2045 Senior Notes	May 2016	110.847	3.753	150	13
2042 Senior Notes	August 2012	99.567	3.724	250	(3)
2037 Senior Notes	May 2007	98.722	6.093	300	(4)
2034 Senior Notes	June 2024	99.689	5.040	650	(2)
October 2033 Senior Notes	September 2003	98.645	5.846	200	(2)
May 2033 Senior Notes	May 2023	99.897	4.663	700	(5)
2031 Senior Notes	March 2021	99.340	2.023	600	(49)
2030 Senior Notes	April 2020	99.816	2.621	700	(105)
2029 Senior Notes	November 2019	99.046	2.483	650	(6)
2028 Senior Notes	May 2023	99.897	4.398	700	(4)
2027 Senior Notes	February 2017	99.963	3.154	500	—
2024 Senior Notes	November 2019	99.421	2.122	500	(1)

NOTE 17 – COMMITMENTS AND CONTINGENCIES

Contractual Obligations

The following table summarizes scheduled maturities of the Company's contractual obligations for which cash flows are fixed and determinable as of June 30, 2024:

		Payments Due in Fiscal					
(In millions)	Total	2025	2026	2027	2028	2029	Thereafter
Debt service (1)	$ 11,845	$ 794	$ 288	$ 788	$ 973	$ 242	$ 8,760
Unconditional purchase obligations (2)	2,370	1,463	373	317	98	21	98
Gross unrecognized tax benefits and interest – current (3)	2	2	—	—	—	—	—
Transition Tax payable(4)	146	65	81	—	—	—	—
Total contractual obligations(5)	$ 14,363	$ 2,324	$ 742	$ 1,105	$ 1,071	$ 263	$ 8,858

Cosmetic Talcum Powder Matters

The Company has been named as a defendant in civil actions alleging that certain cosmetic talcum powder products sold by the Company were contaminated with asbestos. Most of these actions involve a number of co-defendants from a variety of different industries. As of June 30, 2024, there were 273 individual cases pending against the Company in state and federal courts throughout the United States, as compared to 185 cases as of June 30, 2023. During the year ended June 30, 2024, 200 new cases were filed and 112 cases were resolved by voluntary dismissal, dismissal by the court, or settlement. The value of settlements, either individually or in the aggregate, in fiscal 2024, 2023, and 2022 was not material.

NOTE 19 – STOCK PROGRAMS

Total net stock-based compensation expense is attributable to the granting of and the remaining requisite service periods of stock options, restricted stock units (RSUs), performance share units (PSUs), long-term PSUs and share units. Compensation expense attributable to net stock-based compensation is as follows:

	Year Ended June 30		
(In millions)	2024	2023	2022
Compensation expense	$ 325	$ 267	$ 331

Stock Options

The following is a summary of the status of the Company's stock options as of June 30, 2024 and activity during the fiscal year then ended:

(Shares in thousands)	Shares	Weighted-Average Exercise Price Per Share	Aggregate Intrinsic Value(1) (in millions)	Weighted-Average Contractual Life Remaining in Years
Outstanding at June 30, 2023	7,497.1	$ 184.41		
Granted at fair value	1,780.6	155.92		
Exercised	(480.7)	81.57		
Expired	(161.3)	240.00		
Forfeited	(140.0)	199.73		
Outstanding at June 30, 2024	8,495.7	182.95	$ 32	6.0
Vested and expected to vest at June 30, 2024	8,415.7	182.95	$ 32	6.0
Exercisable at June 30, 2024	5,842.7	175.76	$ 32	5.0

(1)The intrinsic value of a stock option is the amount by which the market value of the underlying stock exceeds the exercise price of the option.

The exercise period for all stock options generally may not exceed ten years from the date of grant. Stock option grants to individuals generally become exercisable over a service period of up to four years. The Company attributes the value of option awards on a straight-line basis over the requisite service period.

The following is a summary of the per-share weighted-average grant date fair value of stock options granted and total intrinsic value of stock options exercised:

	Year Ended June 30		
(In millions, except per share data)	2024	2023	2022
Per-share weighted-average grant date fair value of stock options granted	$ 52.83	$ 79.09	$ 85.56
Intrinsic value of stock options exercised	$ 31	$ 93	$ 276

Restricted Stock Units

The Company granted RSUs in respect of approximately 1.6 million shares of Class A Common Stock during fiscal 2024 with a weighted-average grant date fair value per share of $155.82 that, at the time of grant, are scheduled to vest as follows: 0.6 million in fiscal 2025, 0.6 million in fiscal 2026 and 0.4 million in fiscal 2027. Vesting of RSUs granted is generally subject to the continued employment or the retirement of the grantees. The RSUs were generally valued at the closing market price of the Company's Class A Common Stock on the date of grant.

The following is a summary of the status of the Company's RSUs as of June 30, 2024 and activity during the fiscal year then ended:

(Shares in thousands)	Shares	Weighted-Average Grant Date Fair Value Per Share
Nonvested at June 30, 2023	1,789.9	$ 265.04
Granted	1,606.1	155.82
Dividend equivalents	45.0	200.19
Vested	(849.7)	262.76
Forfeited	(148.8)	201.52
Nonvested at June 30, 2024	2,442.5	196.69

NOTE 21 – NET EARNINGS PER COMMON SHARE

Net earnings attributable to The Estée Lauder Companies Inc. per common share (basic EPS) is computed by dividing net earnings attributable to The Estée Lauder Companies Inc. by the weighted average number of common shares outstanding and shares underlying PSUs and RSUs where the vesting conditions have been met. Net earnings attributable to The Estée Lauder Companies Inc. per common share assuming dilution (diluted EPS) is computed by reflecting potential dilution from stock-based awards. A reconciliation between the numerator and denominator of the basic and diluted EPS computations is as follows:

	Year Ended June 30		
(In millions, except per share data)	2024	2023	2022
Numerator:			
Net earnings attributable to The Estée Lauder Companies Inc.	$ 390	$ 1,006	$ 2,390
Denominator:			
Weighted-average common shares outstanding – Basic	359.0	357.9	360.0
Effect of dilutive stock options	0.9	2.3	3.7
Effect of PSUs	0.2	0.1	0.2
Effect of RSUs	0.7	0.6	1.0
Weighted-average common shares outstanding – Diluted	360.8	360.9	364.9
Net earnings attributable to The Estée Lauder Companies Inc. per common share:			
Basic	$ 1.09	$ 2.81	$ 6.64
Diluted	$ 1.08	$ 2.79	$ 6.55